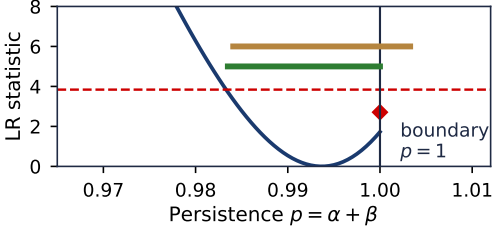
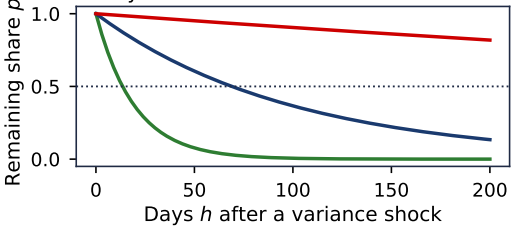
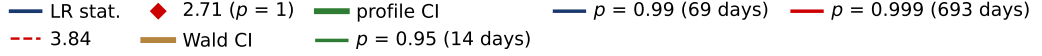

Simulated GARCH, T = 2,000
LR statistic
8
6
4
2
0
0.97
0.98
0.99
1.00
1.01
Persistence $p = \alpha + \beta$
boundary
$p = 1$


Decay of a shock
Remaining share p^h
1.0
0.5
0.0
0
50
100
150
200
Days h after a variance shock


LR stat.
3.84
2.71 (p = 1)
Wald CI
profile CI
p = 0.95 (14 days)
p = 0.99 (69 days)
p = 0.999 (693 days)